equities have outpaced inflation by a wide margin, and they are expected to remain one of the best real return investments in the future. You have to stay invested during all market conditions to benefit from the gains.

## U.S. EQUITY MARKET STRUCTURE

An initial public offering (IPO) occurs when a company sells stock to the public for the very first time. The new shares are distributed through a tightly controlled *primary* market. Investment bankers are hired to bring the company public, and part of that process is to promote the company to large institutional investors. Individual investors, like you and me, have very little chance to get in on the IPO market unless we have a special relationship with an investment banker or the large institutions are not interested in buying. This is not the fairest system for distributing IPO shares, but it is the way Wall Street works, and despite the envy we often hear from small investors who are often left out, it does work.

The newly issued company stock begins trading immediately on the *secondary* market. Here is where most stock transactions are done. Which stock exchange carries a new company depends on the company's board of directors as well as the financial history and the value of the company. Currently, over 26,000 U.S. company stocks have been issued in the United States; however, less than 20 percent meet the criteria to trade on a major exchange. Companies must meet certain size, price, and liquidity requirements to be eligible to trade on the New York Stock Exchange (NYSE) and the National Association of Securities Dealers Automatic Quote System (Nasdaq).

Companies that do not qualify for listing on an exchange are known as bulletin-board stocks. These small and often illiquid securities are traded in dealer-only market such as the OTC Bulletin Board and Pink Quotes.

The OTC Bulletin Board, or OTCBB, is an electronic quote system in the United States that displays real-time quotes, last-sale prices, and volume information for many over-the-counter (OTC) equity securities that are not listed on the Nasdaq stock exchange or a national securities exchange. All OTCBB securities must be reporting to the Securities and Exchange Commission (SEC) and current in their reporting obligations. The Financial Industry Regulatory Authority (FINRA) oversees the OTCBB although it is not part of the Nasdaq stock exchange.